

I measured the move from the breakout to the ultimate low and determined if price returned to the pattern during that move. If you placed a stop-loss order at the pattern's top after a downward breakout, the stock would hit the order 1% (or less) of the time. Stick the stop in the middle or bottom of the pattern and it'll be hit more often, but the potential loss will be smaller.

Don't forget to change the potential loss into a percentage of the current price to see if you can tolerate the hit to the trading account.

Table 59.5 Size Statistics

Description	Bull Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Tall pattern performance	38%	−18%	−25%
Short pattern performance	41%	−14%	−22%
Median height as a percentage of breakout price	17.8%	18.4%	30.0%
Narrow pattern performance	39%	−16%	−24%
Wide pattern performance	39%	−16%	−23%
Median width	36 days	30 days	31 days
Short and narrow performance	40%	−14%	−22%
Short and wide performance	42%	−14%	−23%
Tall and wide performance	37%	−18%	−23%
Tall and narrow performance	38%	−19%	−27%